HORIZON LEASING PARTNERS LP | AIRCRAFT LEASING

Horizon Leasing
Partners LP

AIRCRAFT LEASE AGREEMENT

Airbus A321-200 — MSN 9102

Reference: ALA-2027-003

Aircraft Type	MSN	Registration	Engines	Year
Airbus A321-200	**9102**	**N45678**	**CFM56-5B3/P**	**2020**

Role	Party	Jurisdiction
Lessor	Horizon Leasing Partners LP	Ireland
Lessee	Pacific Rim Air Travel Ltd.	United States of America

EXECUTION COPY

Dated: 2024-07-01

Pacific Rim Air
Travel Ltd.

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ARTICLE 1 — DEFINITIONS

As used in this Agreement, the following terms shall have the meanings set forth below:

Term	Definition
Airframe	The Airbus A321-200 airframe bearing MSN 9102 and registration N45678, together with all installed parts, appliances, avionics, and furnishings, but excluding the Engines.
Aircraft	The Airframe together with the Engines, all as described in Schedule 1.
Base Rent	USD 445,000 per calendar month, subject to annual CPI-U escalation.
C-Check Interval	Nominally every 6 years / 36,000 FH / 5,000 FC, whichever occurs first, per the Lessee's approved Maintenance Programme.
Delivery Date	2024-07-01, being the date the Aircraft was delivered to Lessee.
Engine	Each CFM56-5B3/P turbofan bearing ESNs ESN-654321 (Pos.1) and ESN-654322 (Pos.2).
Event of Default	Any of the events described in Article 20.
Lease Period	2024-07-01 to 2031-06-30, unless earlier terminated.
LLP	Life Limited Part — any component with a defined service life limit expressed in FH, FC, or calendar time.
Maintenance Reserves	Supplemental rent per Article 8 and Schedule 3.
Return Conditions	The physical redelivery standards described in Schedule 5.
Security Deposit	USD 1,155,000 (three months' Base Rent), payable before Delivery Date.
Total Loss	Destruction, permanent loss, theft, or constructive total loss of the Aircraft.

ARTICLE 2 — CONDITIONS PRECEDENT TO DELIVERY

2.1 Lessor's obligation to deliver the Aircraft is conditional upon receipt of all of the following, in form satisfactory to Lessor, no later than five (5) Business Days before the Delivery Date:

Ref	Condition Precedent
2.1(a)	Evidence of incorporation and good standing of Lessee (certificate of good standing, within 30 days)
2.1(b)	Certified copies of all corporate authorisations (board resolutions, shareholder resolutions if required)
2.1(c)	Executed originals of each Transaction Document to which Lessee is a party
2.1(d)	Evidence of payment of the Security Deposit per Article 7
2.1(e)	Evidence of payment of first month's Base Rent per Article 6
2.1(f)	Certificates of insurance with required endorsements naming Lessor as additional insured and loss payee
2.1(g)	Legal opinion from Lessee's external counsel confirming due authorisation and enforceability
2.1(h)	Evidence of Aircraft registration at the FAA Civil Aircraft Register
2.1(i)	Copy of FAA-approved Maintenance Programme and current OpSpecs
2.1(j)	IOSA certification current within 24 months
2.1(k)	Executed Maintenance Reserves Account Agreement

ARTICLE 3 — DELIVERY

3.1 Subject to satisfaction of the conditions in Article 2, Lessor shall make the Aircraft available for delivery at Dallas/Fort Worth International Airport (DFW) on or about 2024-07-01 (the 'Scheduled Delivery Date').

3.2 Lessee shall inspect the Aircraft within 48 hours of it being made available. Inspection shall be conducted by Lessee's technical representatives in the presence of Lessor's representative.

3.3 If Lessee identifies any non-conformity with the Delivery Condition, it shall issue a Discrepancy Notice. Lessor shall have 10 Business Days to remedy each non-conformity at its own cost.

3.4 Delivery is evidenced by execution of the Delivery Acceptance Certificate (Exhibit A). Execution constitutes Lessee's irrevocable acceptance, subject to express reservations.

3.5 Risk of loss and damage passes from Lessor to Lessee upon execution of the Delivery Acceptance Certificate.

3.6 Title to the Aircraft remains with Lessor at all times.

ARTICLE 4 — LEASE PERIOD

4.1 The Lease Period commences on 2024-07-01 and continues until 2031-06-30, unless earlier terminated.

4.2 Lessee has no option to extend or renew unless Lessor expressly agrees in writing no less than 12 months before the Expiry Date.

4.3 Holdover rate: 150% of the daily equivalent of Base Rent per day of holdover, without prejudice to other remedies.

ARTICLE 5 — PERMITTED USE

5.1 Lessee shall operate the Aircraft solely in commercial air transport under Lessee's FAA Part 121 certificate and operations specifications.

5.2 No sub-lease, wet lease, dry lease, charter, or other use by a third party without Lessor's prior written consent.

5.3 No operation to/from/over sanctioned territories (OFAC, EU, UN).

5.4 No operation in areas of active military conflict or areas prohibited by Lessee's hull war insurers.

ARTICLE 6 — RENT AND PAYMENT

6.1 Base Rent of USD 445,000 per calendar month is payable in advance on the 1st of each month. Partial-month rent is prorated on a per-diem basis.

6.2 Base Rent escalates annually per CPI-U, with a floor of 0% and no ceiling.

6.3 All payments by wire transfer to:

Field	Details
Bank	J.P. Morgan Chase Bank N.A.
ABA	021000021
SWIFT	CHASUS33
Account Name	Horizon Leasing Partners LP — Aircraft Trust 9102
Account No.	12345678909102
Reference	ALA-2027-003 / N45678 / Month MMYYYY

6.4 Late payment interest: SOFR + 4.00% p.a. on a 365-day basis from the due date to actual payment date.

6.5 All payments are without set-off, counterclaim, deduction, or withholding of any nature.

ARTICLE 7 — SECURITY DEPOSIT

7.1 Cash Security Deposit of USD 1,155,000 (three months' rent) payable before Delivery Date.

7.2 Held by Lessor in a segregated interest-bearing account; interest credited to Lessee if no Event of Default.

7.3 Lessor may apply any portion against unpaid amounts or losses; Lessee must replenish within 5 Business Days.

7.4 Returned within 30 days of redelivery, subject to no continuing defaults and all amounts paid in full.

7.5 May be replaced by a standby Letter of Credit from a Lessor-approved bank.

ARTICLE 8 — MAINTENANCE RESERVES

8.1 In addition to Base Rent, Lessee pays Maintenance Reserves as follows:

Reserve Component	Rate	Trigger	Annual Escalation	Cap (per event)
Airframe A/B Check	USD 160/FH	Per FH flown	CPI-U	USD 350,000
Airframe C Check	USD 480/FH	Per FH flown	CPI-U	USD 4,500,000
Engine LLP — No. 1	USD 230/FC	Per FC on Eng 1	CPI-U + 1%	USD 2,800,000
Engine LLP — No. 2	USD 230/FC	Per FC on Eng 2	CPI-U + 1%	USD 2,800,000
Engine Performance — No. 1	USD 175/FH	Per FH on Eng 1	CPI-U + 1%	USD 5,200,000
Engine Performance — No. 2	USD 175/FH	Per FH on Eng 2	CPI-U + 1%	USD 5,200,000
Landing Gear (all legs)	USD 105/FH	Per FH flown	CPI-U	USD 900,000/leg
APU	USD 65/APU-H	Per APU hour	CPI-U	USD 350,000

8.2 Utilisation Report due within 10 Business Days after each month-end (form: Exhibit B).

8.3 MR Claim submission within 30 days of maintenance event completion, with full supporting documentation.

8.4 Lessor approves or disputes claims within 21 Business Days of receipt; eligible amounts paid within 5 Business Days of approval.

8.5 MR balances are non-refundable except as provided in Schedule 3.

ARTICLE 9 — AIRWORTHINESS AND MAINTENANCE

9.1 Lessee shall maintain the Aircraft in airworthy condition in accordance with: (a) FAA regulations (14 C.F.R. Parts 21, 39, 43, 91, 121); (b) OEM manuals (AMM, IPC, AWM); (c) all applicable FAA and EASA Airworthiness Directives; (d) mandatory/alert Service Bulletins; (e) Lessee's approved Maintenance Programme; and (f) this Agreement.

9.2 All maintenance by FAA/EASA Part 145 approved MROs. Lessee to notify Lessor of MRO identity at least 10 Business Days before commencement.

9.3 Lessor has right of inspection on 5 Business Days' written notice (immediate for emergencies), without unreasonable interference with Lessee's operations.

ARTICLE 10 — MODIFICATIONS

10.1 No modifications without Lessor's prior written consent (not unreasonably withheld for AD-mandated modifications).

10.2 Approved modifications to be performed per approved data, not adversely affecting airworthiness or market value.

10.3 All modifications become Lessor's property. Lessee must restore to pre-modification configuration at redelivery unless Lessor directs otherwise.

ARTICLE 11 — PARTS AND COMPONENTS

11.1 Parts removed only for maintenance, repair, or replacement per this Agreement.

11.2 Replacement parts: like-for-like or better; FAA 8130-3 or EASA Form 1 release certificate required.

11.3 Title to replacement parts vests in Lessor upon installation, free and clear of all encumbrances.

ARTICLE 12 — TECHNICAL RECORDS

12.1 All Technical Records maintained in English, in complete and current paper and electronic form per 14 C.F.R. Part 121 Subpart U.

12.2 Copies provided to Lessor on request.

12.3 All original Technical Records and electronic back-ups delivered to Lessor at redelivery.

ARTICLE 13 — REGISTRATION AND TITLE

13.1 Aircraft registered on the FAA Civil Aircraft Register throughout the Lease Period.

13.2 Registered in Lessor's name as owner and Lessee's name as operator.

13.3 No liens, mortgages, or charges to be registered against the Aircraft.

ARTICLE 14 — LIENS

14.1 Lessee shall not create or permit any lien on the Aircraft, its components, or Lessee's rights under this Agreement.

14.2 Any threatened lien must be discharged or bonded over within 5 Business Days of notification.

ARTICLE 15 — INSURANCE

Coverage	Minimum Limit	Form / Terms	Deductible	Key Endorsements
Hull All Risks	USD 52,000,000 Agreed Value	AV1A + AVN52H	USD 250,000	Lessor loss payee; waiver of subrogation; no co-insurance
Hull War and Allied Perils	USD 52,000,000 Agreed Value	AVN52H	USD 500,000	Confiscation/ requisition; 7 days' notice
Third-Party Liability	USD 750,000,000 per occurrence	AVN1C	Nil	Lessor additional insured; cross-liability; severability
Passenger Liability	USD 300,000 per seat (168 seats)	Montreal Convention	Nil	IATA minimum compliant
Baggage and Cargo	USD 15,000,000 per occurrence	Montreal Convention	Nil	—
Workers' Comp / EL	Statutory + USD 10M EL	Standard endorsement	Nil	Waiver of subrogation
Terrorism	USD 52,000,000	AVN52H	USD 250,000	7 days' cancellation notice

15.2 All insurers rated minimum A-/VII by A.M. Best.

15.3 Certificate of Insurance and endorsements to Lessor at least 5 Business Days before each policy period.

15.4 30 days' (7 days for war risk) cancellation notice to Lessor required under all policies.

ARTICLE 16 — INDEMNITIES

16.1 General Indemnity. Lessee indemnifies each Indemnitee against all Claims arising out of: (a) manufacture, purchase, delivery, condition, use, maintenance, or redelivery of the Aircraft; (b) any breach by Lessee; (c) any act or omission of Lessee; (d) any third-party claim from Lessee's operations.

16.2 Tax Indemnity. Lessee to gross-up all payments against any withholding or deduction imposed by any Governmental Authority, other than taxes on Lessor's net income in its jurisdiction of incorporation.

ARTICLE 17 — TOTAL LOSS

17.1 Agreement terminates on the Total Loss Date. Lessee must immediately notify Lessor.

17.2 All insurance proceeds payable to Lessor. Surplus above Agreed Value paid to Lessee after discharge of all outstanding amounts.

17.3 Partial damage proceeds held by Lessor and released for repairs upon verification of airworthiness.

ARTICLE 18 — RETURN AND REDELIVERY

18.1 Aircraft redelivered to Lessor on 2031-06-30 (or earlier termination date) at a location to be agreed in the Continental United States or Western Europe.

18.2 Redelivery schedule agreed 180 days in advance, covering: (i) final maintenance check; (ii) technical inspection; (iii) redelivery flight.

18.3 Return Condition standards include: (a) valid FAA Airworthiness Certificate; (b) C-Check within 24 months; (c) each Engine PRSV within 36 months or <2,500 cycles since SV; (d) LLPs with >2,500 FC remaining; (e) Landing Gear >24 months/2,000 FC to next overhaul; (f) APU HSI within 24 months; (g) cabin in Delivery configuration or better; (h) exterior paint no primer visible.

18.4 Compensation in lieu payable per Schedule 5, Part II if Return Conditions are not met.

ARTICLE 19 — REPRESENTATIONS AND WARRANTIES

19.1 Each Party represents and warrants that: (a) duly incorporated and validly existing; (b) full authority to enter into and perform this Agreement; (c) Agreement constitutes its legal, valid, and binding obligation; (d) no consents outstanding; and (e) no conflict with applicable law.

ARTICLE 20 — EVENTS OF DEFAULT

Ref	Event	Description	Cure Period
20.1(a)	Payment Default	Failure to pay any amount on its due date	5 Business Days from written notice
20.1(b)	Maintenance Default	Failure to perform any maintenance obligation	15 days (or longer if diligently pursuing remedy)
20.1(c)	Insurance Default	Insurance lapses, cancelled, or fails to cover required risks	3 Business Days
20.1(d)	Registration Default	Airworthiness Certificate or registration suspended or revoked	Immediate
20.1(e)	Insolvency	General assignment for benefit of creditors, adjudicated bankrupt, receiver appointed	None
20.1(f)	Cessation of Business	Ceases commercial aviation or surrenders operating certificates	None
20.1(g)	Cross-Default	Default under any other agreement with Lessor or affiliate	Per applicable grace period
20.1(h)	Misrepresentation	Any representation proves materially false when made	None
20.1(i)	Sanctions	Lessee or operator becomes a Sanctioned Person	None
20.1(j)	General Breach	Material breach of any other obligation	21 days from written notice

20.2 Upon Event of Default, Lessor may: (a) terminate by written notice; (b) demand immediate redelivery; (c) repossess the Aircraft; (d) draw on Security Deposit/Letter of Credit; (e) claim all amounts due plus damages for unexpired Lease Period; and/or (f) exercise any other remedy available at law.

20.3 Lessee grants Lessor an irrevocable power of attorney, operative only upon Event of Default and termination, to repossess, deregister, and export the Aircraft.

ARTICLE 21 — ASSIGNMENT

21.1 Lessor may assign all rights and interests to any financial institution as security for financing without Lessee's consent.

21.2 Lessee may not assign, transfer, or sub-lease any interest without Lessor's prior written consent (absolute discretion).

ARTICLE 22 — GOVERNING LAW AND DISPUTE RESOLUTION

22.1 New York law governs, without reference to conflict of laws principles.

22.2 Disputes resolved by ICC arbitration in New York (3 arbitrators, English language).

22.3 Emergency or interim relief from courts of competent jurisdiction is not precluded.

ARTICLES 23–24 — NOTICES / MISCELLANEOUS

Party	Address	Email	Attention
Lessor	Horizon Leasing Partners LP, 1 Grand Canal Square, Dublin 2, Ireland	leases@lessor.ie	Head of Portfolio Management
Lessee	Pacific Rim Air Travel Ltd., 123 Aviation Blvd, Dallas TX 75201	leasing@lessee.com	VP Finance & Leasing

This Agreement constitutes the entire agreement and supersedes all prior negotiations. Amendments require a signed written instrument. Counterparts with electronic signatures are originals.

SCHEDULE 1 — AIRCRAFT DESCRIPTION

Parameter	Detail
Aircraft Type	Airbus A321-200
Manufacturer	Airbus SAS
MSN	9102
Registration Mark	N45678
Year of Manufacture	2020
Engine Type	CFM56-5B3/P
Engine Serial No. 1 (Position 1)	ESN-654321
Engine Serial No. 2 (Position 2)	ESN-654322
APU Model	Pratt & Whitney APS3200
APU Serial No.	APU-910201
NLG Serial No.	NLG-9102
LH MLG Serial No.	LH-9102
RH MLG Serial No.	RH-9102
Interior Config.	168 passengers (16 Business / 152 Economy)
MTOW	78,000 kg
Operating Empty Weight	42,600 kg

SCHEDULE 2 — TECHNICAL RECORDS

Record Type	Description	Format
Aircraft Logbook	Continuous log of FH, FC, modifications, major maintenance	Original + PDF scan
Engine Logbooks (×2)	Continuous log per engine FH, FC, TSO, shop visit history	Original + PDF scan
APU Logbook	APU hours, cycles, shop visit history	Original + PDF scan
Airworthiness Directives	Compliance record for all applicable ADs incl. repetitive items	Electronic DB + paper
Service Bulletin Status	Master list of applicable SBs with incorporated/not status	Electronic spreadsheet
Component Status List	All tracked components: P/N, S/N, TSO, TSI, time remaining	Electronic CSV
LLP Tracking Sheets	Module-by-module LLP tracking per engine	Electronic CSV
C-Check Work Package	Complete work card archive from last C-Check	PDF, indexed
Engine SV Reports	Teardown and build-up reports from last PRSV	PDF scans
Modification / STC Records	All STCs, FAA 337s, approved mod data	Original + PDF
Weight & Balance Report	Current W&B issued by approved organisation	Original + PDF
Avionics Software Status	Part numbers and versions of all LRU software	Electronic

Deferred Defect Log	Open MEL/CDL items at delivery	Electronic + paper

SCHEDULE 3 — MAINTENANCE RESERVE RATES

Component	Rate	Escalation	Cap	Eligible Cost Categories
Airframe A/B Check	USD 160/FH	CPI-U	USD 350,000/event	Labour, parts, NDT, consumables per AMM
Airframe C Check	USD 480/FH	CPI-U	USD 4,500,000/event	As above plus structural repairs
Engine LLP – No. 1	USD 230/FC	CPI-U + 1%	USD 2,800,000/module set	OEM LLP parts with 8130-3/Form 1
Engine LLP – No. 2	USD 230/FC	CPI-U + 1%	USD 2,800,000/module set	OEM LLP parts with 8130-3/Form 1
Engine Performance – No. 1	USD 175/FH	CPI-U + 1%	USD 5,200,000/SV	PR workscope per PRSV tear-down findings
Engine Performance – No. 2	USD 175/FH	CPI-U + 1%	USD 5,200,000/SV	PR workscope per PRSV tear-down findings
Main Landing Gear	USD 105/FH	CPI-U	USD 900,000/leg	Overhaul to OEM spec; NDT; chrome plating
Nose Landing Gear	USD 63/FH	CPI-U	USD 400,000/overhaul	Overhaul to OEM spec
APU	USD 65/APU-H	CPI-U	USD 350,000/HSI	HSI parts and labour

Ineligible costs: cosmetic improvements beyond Return Condition; operator preference modifications; FOD / bird strike damage (insured events); management fees; ferry costs beyond nearest capable MRO.

SCHEDULE 4 — MINIMUM MAINTENANCE OBLIGATIONS

Check Type	Interval	Minimum at Redelivery
Transit / Pre-flight	Per flight	Per Lessee's approved checks
Daily Check	Each calendar day	Per AMM Task 05-10-01
A Check	600 FH or 400 FC or 90 days (earliest)	No open items; all ADs current
B Check	3,000 FH or 18 months (earliest)	Full systems test; no MEL beyond Cat A
C Check	6,000 FH or 36 months or 5,000 FC (earliest)	CPCP tasks; SRM repairs; NDT
D Check	24,000 FH or 12 years (earliest)	Full strip and inspection per AMM
Engine PRSV	On-condition; max 8,000 FH from last SV	Min EGT margin 30°C at delivery
Engine LLP Replacement	Per OEM life limits	Min 2,500 FC remaining at redelivery
Landing Gear Overhaul	10 years or per manufacturer limits	Min 24 months remaining at

		redelivery
APU Hot Section Inspection	4,000 APU-H or 24 months (earliest)	Min 1,000 APU-H remaining at redelivery

SCHEDULE 5 — RETURN CONDITIONS AND COMPENSATION RATES

Part I — Return Condition Standards

Component	Minimum at Redelivery	Measurement
Airframe C Check	Within preceding 24 months	Work package sign-off date
Structural Repairs	No open deferred structural repairs; all CPCP current	Compliance record
Engine No. 1 EGT Margin	Min 30°C (cruise, ISA)	Borescope + performance run
Engine No. 1 Shop Visit	Within preceding 36 months	SV completion records
Engine No. 1 LLPs	Min 2,500 FC remaining on all LLPs	Engine records / disc sheets
Engine No. 2 EGT Margin	Min 30°C (cruise, ISA)	Borescope + performance run
Engine No. 2 Shop Visit	Within preceding 36 months	SV completion records
Engine No. 2 LLPs	Min 2,500 FC remaining on all LLPs	Engine records / disc sheets
APU	HSI within preceding 24 months	HSI work order and certificate
Main Landing Gear	Overhaul within 10 years; min 24 months/2,000 FC remaining	Overhaul records
Interior – Seats	All serviceable; no unrepaired damage; covers clean/replaced	Physical inspection
Exterior Paint	Full repaint if >25% oxidation or flaking; no primer visible	Physical inspection
MEL Items	No open Cat A; Cat B/C within window	MEL log

Part II — Compensation Rates (per shortfall unit)

Item	Compensation Rate
C Check — each month short of 24-month minimum	USD 62,000 / month
Engine PRSV — each month short of 36-month minimum	USD 45,000 / month / engine
Engine LLP — each FC short of 2,500 minimum (per LLP)	USD 230 / FC / LLP
Landing Gear — each month short of 24-month minimum	USD 18,000 / month / leg
APU — each month short of 24-month minimum	USD 8,000 / month
Exterior repaint required	USD 185,000 lump sum
Seat cover replacement	USD 1,200 / seat
Full carpet replacement	USD 28,000 lump sum
Open MEL item beyond window	USD 5,000 / item / day until closed

IN WITNESS WHEREOF the parties have executed this document as of the date first written above.

LESSOR	**LESSEE**
By: _____	By: _____
Name: James O'Sullivan	Name: Catherine M. Rodriguez
Title: Managing Director	Title: EVP Finance
Date: 2024-07-01	Date: 2024-07-01